

impairment of safety; or else into a much better secured issue with little sacrifice of yield, and sometimes with an actual gain.⁴

INCLUSION OF GUARANTEES AND RENTALS IN THE CALCULATION OF FIXED CHARGES

All obligations equivalent to bond interest should be included with a company's interest charges when calculating the coverage for its bond issues. This point has already been explained in some detail in connection with railroad fixed charges, and it was touched upon briefly in our discussion of public-utility bonds. The procedure in these groups offers no special difficulties. But in the case of certain types of industrial companies, the treatment of rentals and guarantees may offer confusing variations. This question is of particular moment in connection with retail enterprises, theater companies, etc., in which rent or other obligations related to buildings occupied may be an important element in the general picture. Such a building may be owned by the corporation and paid for by a bond issue, in which case the obligation will be fully disclosed in both the balance sheet and the income account. But if another company occupies a similar building under long-term lease, no separate measure of the rental obligation appears in the income account and no indication thereof can be found in the balance sheet. The second company may *appear* sounder than the first, but that is only because its obligations are undisclosed; essentially, both companies are carrying a similar burden. Conversely, the outright ownership of premises free and clear carries an important advantage (from the standpoint of preferred stock, particularly) over operation under long-term lease, although the capitalization set-up will not reveal this advantage.

Examples: If Interstate Department Stores Preferred had been compared with The Outlet Company Preferred in 1929 the two exhibits might have appeared closely similar; the earnings coverage averaged about the same, and neither company showed any bond or mortgage liability. But Outlet's position was in actuality by far the stronger, because it owned its land and buildings while those of Interstate (with a minor exception) were

⁴ In Appendix Note 31 will be found a concise discussion of certain interesting phases of guarantees and rentals, as illustrated by the N.Y. and Harlem Railroad and the Mobile and Ohio Railroad situations.